

INTERNATIONAL RELATIONS



INDIA-USA - 3

MODULE - 35

There are several irritants in the relationships, which can be categorised into the following:

- Political
- Economic
- Multilateral
- US-Taliban Talks



POLITICAL

VISA ISSUES

- 1** The H1B and L1B visa are temporary work visas for skilled professionals. The H1B and L1B Visa Reform Act of 2016 seek to double the visa fee for companies if they employ more than 50 people.
- 2** As far as H1B visas are concerned, about 70% of the beneficiaries are Indian nationals.
- 3** NASSCOM termed this decision of the US as discriminatory as it was expected to impact the major IT firms.
- 4** For India, a key issue is US temporary visa policy, which affects Indian nationals working in the United States.



POLITICAL

VISA ISSUES

- 5 In 2020, US President Trump announced that the two-month moratorium on issuance of H-1B (skilled workers), H4 (for dependents of H1B), H2B (for seasonal workers in the landscaping and hospitality industry), L1 (intra company transfers), L2 (dependants of L1), J1 (Students) would be extended till December 2020.
- 6 The Migration Policy Institute has predicted that up to 2,19,000 workers may be impacted by this order throughout the world.
- 7 However, those already in the US with valid visas and those who have already been issued visas will not be impacted by this executive order.



POLITICAL

VISA ISSUES

RATIONALE BEHIND DECISION

- The Covid-19 pandemic influenced this decision
- The initiative is politically driven as the Presidential polls are scheduled in November.

EFFECT ON INDIA

- The H1B visa is also critical for the Indian service industry which exports services worth USD 29.6 billion (in 2018) to the US. The decision will further affect the Indian service industry which is suffering due to the pandemic.
- However, under the current circumstances with no clarity on international travel the decision has not impacted much

1

India hopes that US implements a non-discriminatory and predictable visa regime given its high impact on innovation, competitiveness and people to people partnership.

2

India should use this opportunity to reverse the brain drain from India and use Indian talent to make it 'AtmaNirbhar'



ECONOMIC

The United States seeks an expanded trade relationship with India that is reciprocal and fair.

1 Barriers to US firms' market access include India's limits on foreign ownership and local presence requirements.

2 India's IP regime remains a top concern for the United States. US and India differ on how to balance the intellectual property protection to support innovation and increase accessibility of medicines.

3 US complaints about India's use of tariff and non-tariff barriers to shield agricultural producers and select manufacturing industries.

4 India has historically maintained prohibitive tariffs on a variety of agricultural goods to protect its small, inefficient farmers as the government fears foreign competition would disrupt their livelihoods.



ECONOMIC

- 5 US demands for greater access to India's dairy, poultry and e-commerce market.
- 6 India maintained price controls on coronary stents and knee-replacement hardware.
- 7 India added additional import duties on medical devices in the 2020 Union Budget.
- 8 India has made FDI reforms such as raising foreign equity caps for insurance and defence, but barriers remain in multi brand retail and other sectors.
- 9 India's regulatory transparency and judicial infrastructure present challenges for US investors.



TRADE RELATIONS

1 Prime Minister Modi in the recent 13th East Asian Summit remarked that American exports to India increased by 50%.

2 US alleges that India's import duties are one of the highest in the world.

3 India countered saying that US, instead, has import duties on products such as 350% on tobacco and 164% on peanuts

4 President Trump criticized India for a range of "unfair" trading practices.

5 On June 1, 2018, the United States began applying 25% steel and 10% aluminum tariffs under section 232 of the Tariff Expansion Act of 1962.



TRADE RELATIONS

- 6 In September, India announced plans to raise duties on “non-essential” goods like precious stones, steel and consumer electronics from all countries to curb imports and support its depreciating rupee.
- 7 The government had extended its deadline in May 2019 to impose retaliatory import duties on 29 U.S. products, including almonds, apples, walnuts and pulses, till May 16.
- 8 In March 2019, the US dragged India to WTO over export subsidies claiming that the incentives were harming the American firms.
- 9 The discussions over lowering Indian tariffs on American-made Harley Davidson motorcycles, remain unresolved.



TRADE PREFERENCE PROGRAM

- 1 The Generalised System of Preferences is a trade preference program to promote economic development by eliminating duties on some products US imports from the 120 countries designated.
- 2 It helps beneficiary countries increase and diversify their trade with the U.S.
- 3 In April 2018, the U.S. Trade Representative's Office initiated a review of India's eligibility for the GSP on the grounds that India had denied sufficient access to agricultural and dairy markets, and had placed prohibitive price controls on medical devices.



TRADE PREFERENCE PROGRAM

4 In May 2019, India was withdrawn from GSP benefits. The loss for the Indian industry amounts to about \$190 million on exports of \$5.6 billion falling under the GSP category.

5 Sectors such as pharmaceuticals, textiles, agricultural products and automotive parts, were particularly affected

India does not have an influential lobby like the US to promote liberal trade policies. The failure to produce a trade deal is a major setback for the Indo-US economic relationship.



MULTILATERAL

IRAN FACTOR

- 1 USA scrapped the Joint Comprehensive Plan of Action (JCPOA) or the Iranian Nuclear deal.
- 2 In response, Foreign Minister Swaraj stated that India will abide by UN-imposed sanctions and not imposed by individual countries.
- 3 Indo-US relations is under stress because of oil imports from Iran.
- 4 US is trying to act as an alternate to Iranian imports from India. India is importing \$4 billion oil and gas from the US.



MULTILATERAL

AFGHAN-PAK FACTOR

- 1 Indo-US relations gets complicated because of Pakistan factor. US's role towards Pakistan is not clear
- 2 Its economic and military support to Pakistan escalates India's defence expenditure.
- 3 President Trump's South Asia policy calls for Pakistan to supporting cross border terrorism.



US-TALIBAN TALKS

- 1** The US invaded Afghanistan weeks after the September 2001 attacks in New York by the Afghanistan-based al-Qaeda group.
- 2** More than 2,400 US troops have been killed during the conflict.
- 3** Since then, the US and its allies have struggled to stop Afghanistan's government collapsing, and to end deadly attacks by the Taliban.
- 4** They enforced their own austere version of Sharia, or Islamic law, introduced brutal punishments and disapproved of girls' education.
- 5** The Taliban gave shelter to militants from the Al-Qaeda group, it thus made them an immediate target for an attack by US, Afghan and international forces
- 6** President Trump has promised to put an end to the conflict.



US-TALIBAN DEAL

After nearly 20 years of the US-Taliban war, one of the longest-running conflicts in the world, the US and the Taliban have signed a landmark peace agreement in Doha called “Agreement for Bringing Peace to Afghanistan”.

IMPORTANCE OF DEAL

- 1 Taliban has agreed to sever ties with Al-Qaeda and other international terror groups
- 2 Paves the way for talks between Afghans.
- 3 In return, American troops would leave Afghanistan within 14 months. Troop levels will be cut to 8,600 over the next 135 days and five bases will be closed. US might keep intelligence operatives on the ground fighting Isis and al-Qaida.
- 4 The militants also agreed not to allow al-Qaeda or any other extremist group to operate in the areas they control



IMPORTANCE OF DEAL

US-TALIBAN DEAL

- 5 The deal would work on a prisoner exchange ahead of Afghan talks due to start on 10 March, with the release of 5,000 Taliban prisoners in return for the insurgents freeing 1,000 government soldiers
- 6 The US will also lift sanctions against the Taliban and work with the UN to lift its separate sanctions against the group.
- 7 The Taliban agreement promised that the “date and modalities for a permanent ceasefire” would be announced along with a “future political roadmap of Afghanistan”.



US-TALIBAN DEAL

MIXED RESPONSES

SUPPORTERS

- The civil war has affected the country for almost 40 years.
- The youth of the country, have no stakes in the war and are looking forward to 'peace'
- The Taliban have been describing the deal as a victory on social media
- Britain is strongly supportive of the “potentially transformative” US deal

CRITICS

- It is feared that the deal could worsen the situation for women in Afghanistan.
- Kabul, is not party to the agreement and it is unclear if it will be willing to release so many enemy combatants.
- The Afghan president, Ashraf Ghani, has not commented on the deal. No Afghans apart from the militants have been part of talks
- US critics suggested last-minute concessions were made in order for Trump to boast about a foreign policy achievement.



US-TALIBAN DEAL

IMMEDIATE ACTION REQUIRED

- 1** History shows that starting negotiations and signing deals does not guarantee that conflicts will be peacefully resolved.
- 2** The biggest challenge for Afghanistan would be the creation of verifiable enforcement mechanisms in any post-deal scenario.
- 3** The Afghans need to address internal issues, including a ceasefire, dialogue between the Taliban and the government and formation of a new government and political system.
- 4** A loya jirga - or grand assembly - of Afghans could also be called to choose an interim government which would hold elections once US troops have left and the Taliban has been reintegrated.



US-TALIBAN DEAL

IMMEDIATE ACTION REQUIRED

- 5 The Taliban could try to capture the state again if a deal is not reached this time round, or one fails.
- 6 Afghans and the rest of the world would have to deal with a possible security vacuum in which militant groups such as Al-Qaeda and Islamic State found fertile ground.
- 7 Increased production of drugs and the overflow of refugees would pose serious challenges not only to Afghanistan but also to the whole region including India
- 8 International guarantors and a framework involving the region and the key international players are needed to co-ordinate efforts for peace and deter and prevent spoilers from sabotaging the process.



RECENT STATE VISIT

DONALD TRUMP'S VISIT TO INDIA

US President , Donald Trump visited India on 24-25 February 2020. About the visit

- 1 It was the first state visit of Trump to India.
- 2 President visited Ahmedabad, Agra and Delhi.
- 3 It was a show of public diplomacy in response to the "Howdy, Modi!" event in Houston in 2019



RECENT STATE VISIT

DONALD TRUMP'S VISIT TO INDIA

IMPORTANCE OF VISIT

- 1 This visit recognizes India's importance in terms of geography, location and economic potential
- 2 The US sees India as a buffer to China's growing influence in the region
- 3 Support from the 2.4 million-strong Indian-American voter base in the US in the Presidential election.

OUTCOMES OF THE VISIT

- 1 Comprehensive Global strategic Partnership (CGSP) for deepening of their security relationship.
- 2 Enhanced military exchanges and training and defence industry collaboration.
- 3 No major deal was signed



ROAD AHEAD

- 1 Notwithstanding the above irritants in the relationship, India-U.S. bilateral relations have developed into a “global strategic partnership”.
- 2 The relationship is explained by the motto “Chalein Saath Saath: Forward Together We Go”, and “Sanjha Prayas, Sab ka Vikas” (Shared Effort, Progress for All).
- 3 In the time of geopolitical disorder with China's the Belt and Road initiative (BRI), the return of Russia and Brexit it requires the world's two largest and messiest democracies to return a degree of enthusiasm to wider concerns and challenges.



ROAD AHEAD

4 US has technological edge and prowess in aerospace and defence technology. It can provide its expertise and technology in India's development infrastructure, transportation, energy production and distribution.

5 India can, in turn, support the development by providing human resources. Indians constitute a substantial part of the population in USA and are placed in several high-profile position in various sectors of USA

6 It is hoped that President Trump and future leaders of US will continue to maintain a strong relationship with the largest democracy of the world.



**Chalein Saath Saath,
Forward Together We Go**

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SINCERE THANKS
FOR VIEWING THIS VIDEO

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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588